STARTUP ANALYTICS STUDY

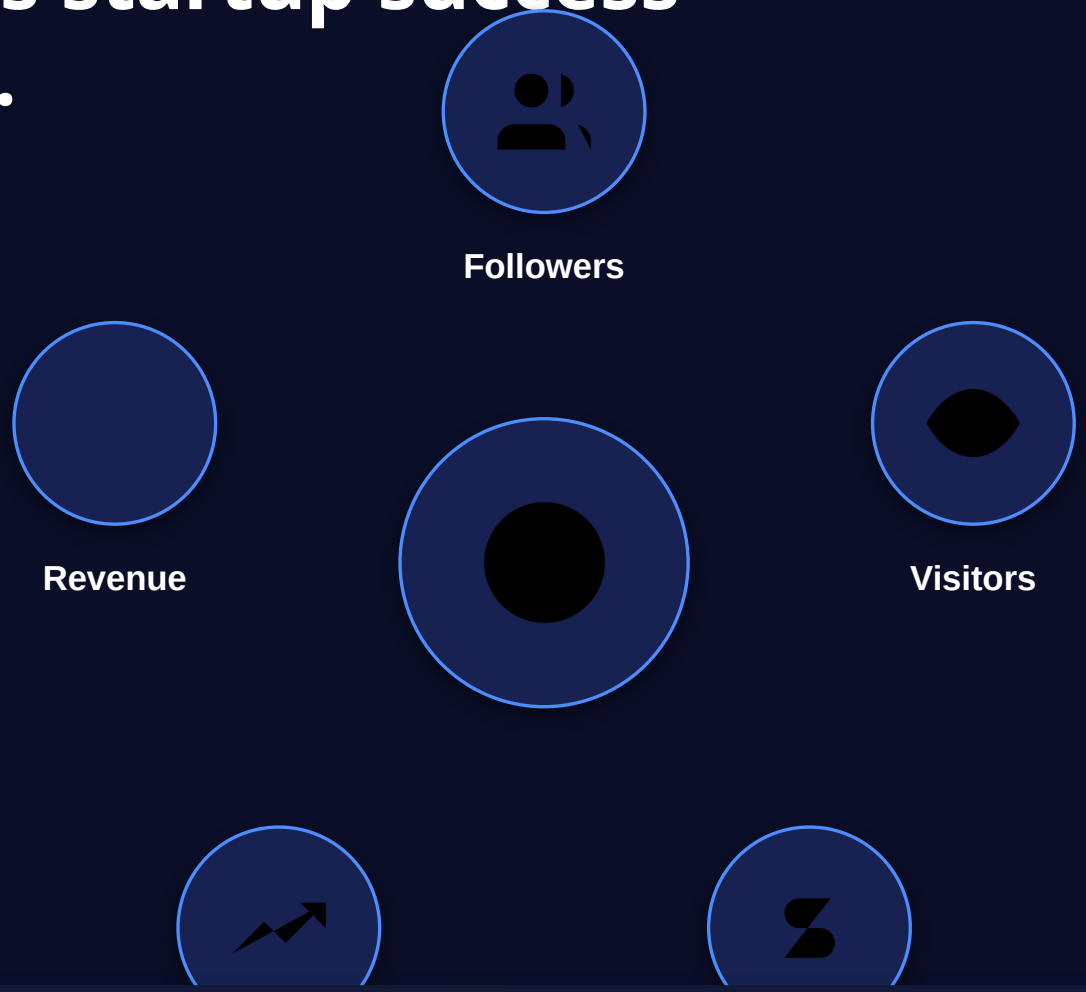
Startup Success: Myth vs Reality

What 1,000 Startups Taught Us About Building a Successful Business

Masters' Union · AI In Business

THE ASSUMPTION

Everyone thinks startup success looks like this...



We analyzed 1,000 startups to find out.

THE DATA

Meet the Dataset

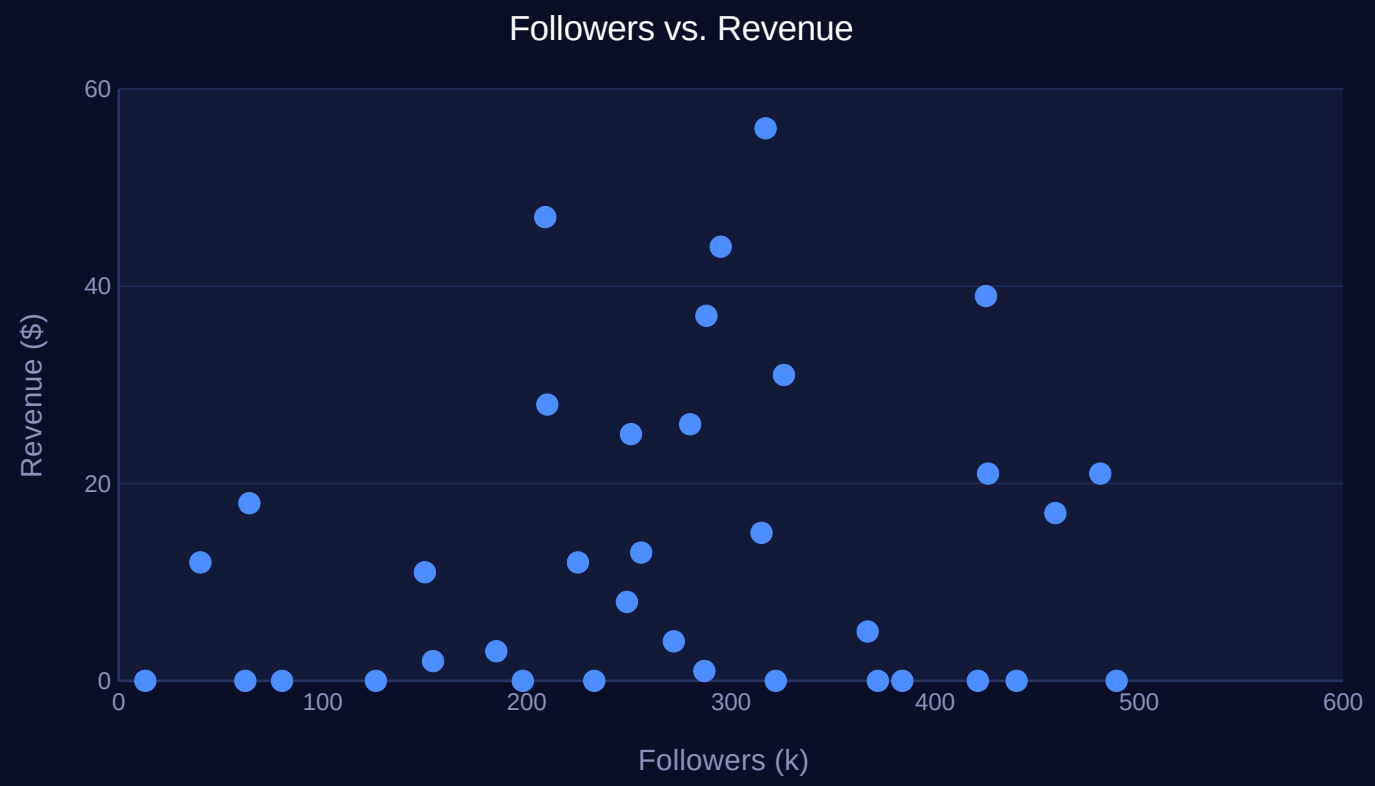


Instead of studying one company, we searched for patterns across all startups.

MYTH #1

More Followers = More Revenue?

Short answer: not really.



BARELY RELATED

r ≈ 0.02

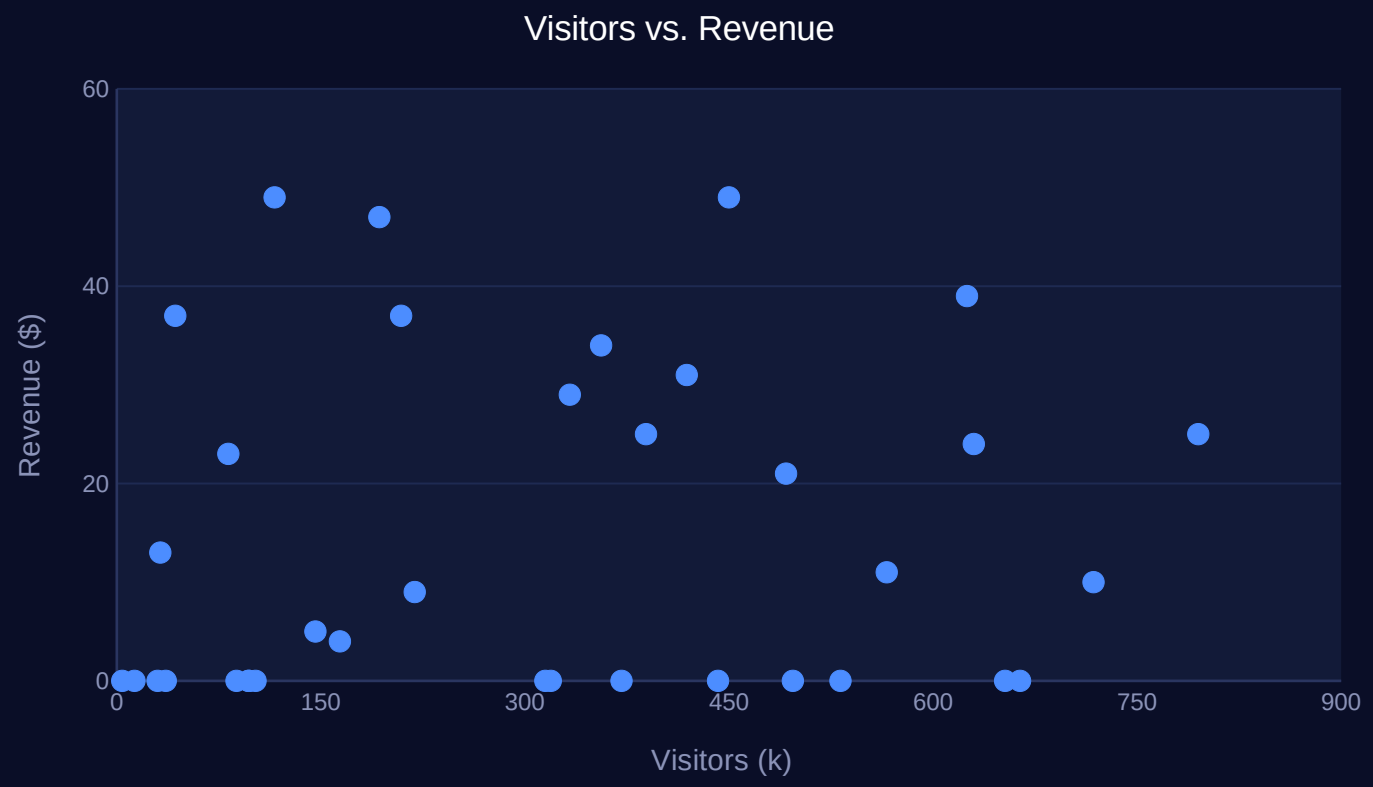
Followers attract attention.
Not necessarily customers.

A social following can grow fast without a single dollar of revenue behind it.

MYTH #2

More Visitors = More Revenue?

A little better. Still not the answer.



SLIGHTLY RELATED

r ≈ 0.16

Visitors

↓

Customers

↓

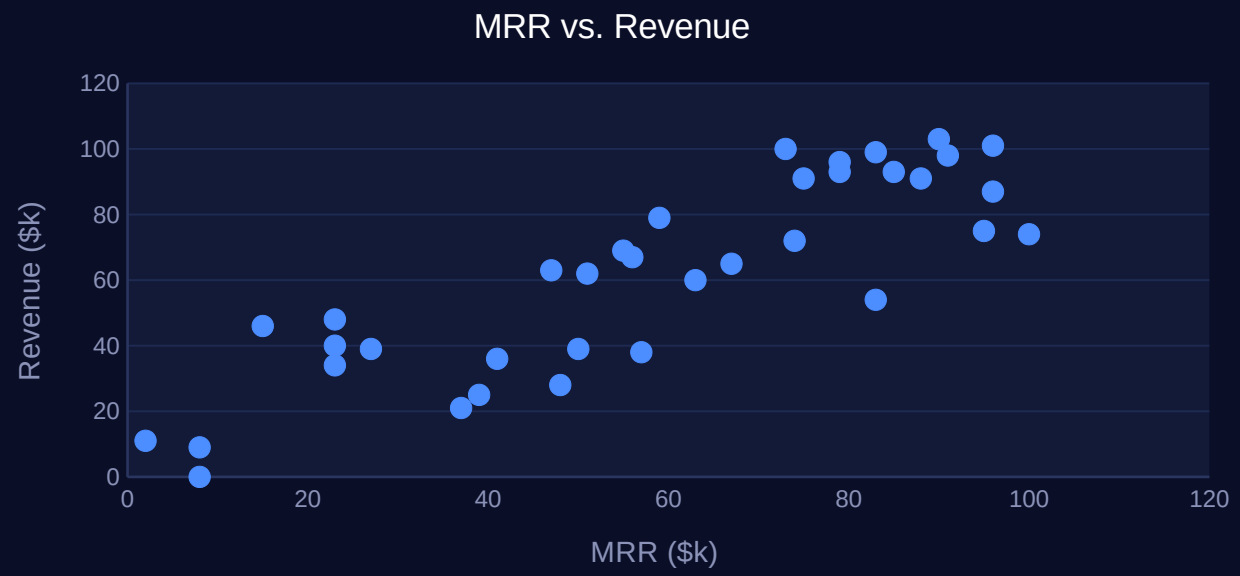
Revenue

Traffic matters. Conversion matters much more.

THE REALITY

Recurring Revenue Wins

Now we're talking.



STRONG LINK r ≈ 0.87 — recurring income tracks revenue almost one-for-one.

What is MRR?

Monthly income generated from customers who continue paying.

e.g. Netflix · Spotify · Microsoft 365

One-Time Purchase

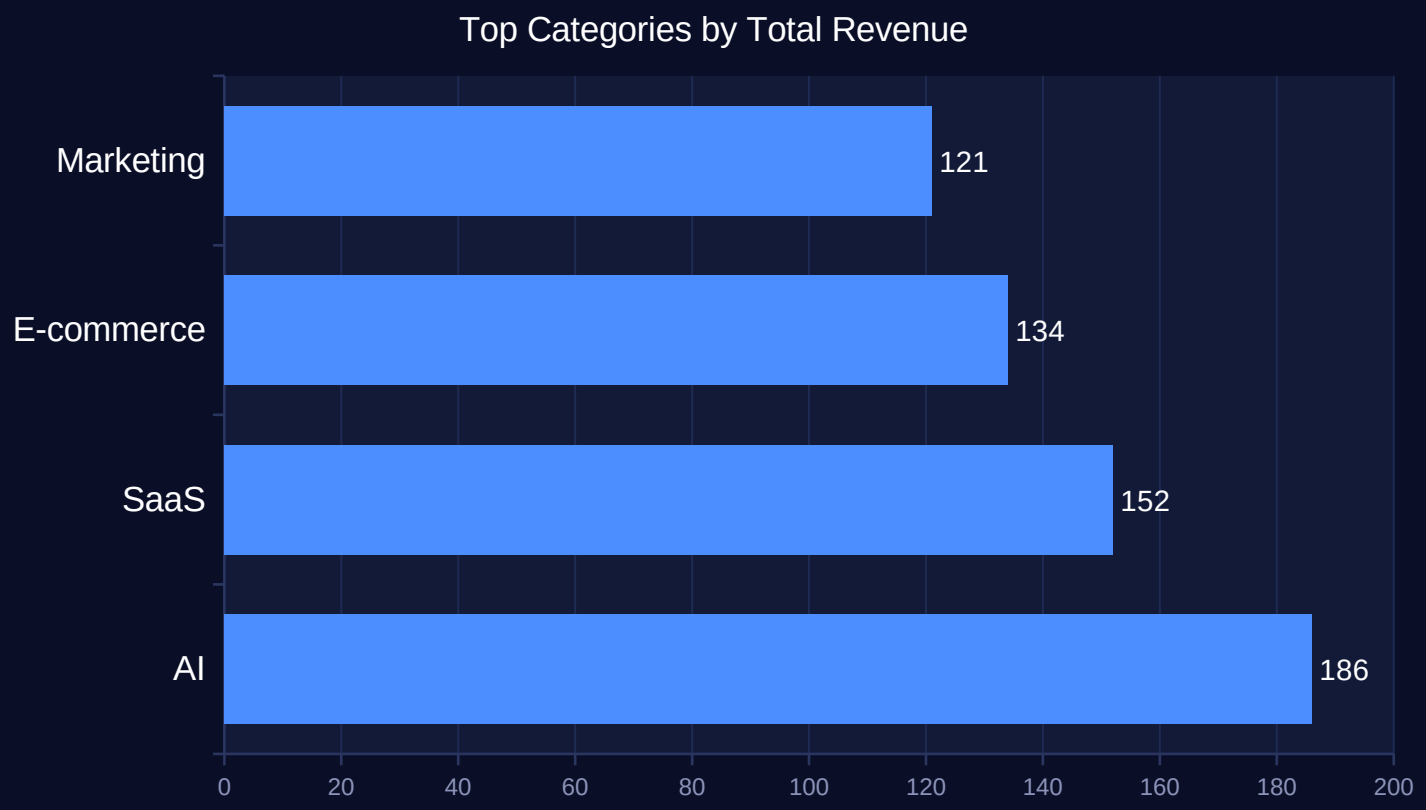
Subscription

Predictable revenue compounds. One-off sales don't.

ONE MORE VARIABLE

Does Industry Matter?

Yes — but it's not the whole story.



AI generated the highest total revenue in our dataset.

However…

Being in AI doesn't guarantee success — execution matters just as much as category.

A QUICK EXERCISE

Imagine You're the Investor

A **Startup A**

- 500,000 followers
- Huge traffic
- Low recurring revenue

B **Startup B**

- 8,000 followers
- High recurring revenue
- High customer retention

Which company would you invest in?

Our data consistently favours Startup B.

PUTTING IT TOGETHER

So… What Actually Makes a Startup Successful?

MYTHS

- Followers
- Traffic
- AI (category alone)
- Virality

REALITY

- **Recurring Revenue**
- **Retention**
- **Strong Business Model**
- **Customer Value**

“Attention gets people through the door.
Value keeps them paying.”

- Popularity does not guarantee profitability.
- Recurring revenue predicts sustainable growth.
- Great businesses convert attention into loyal customers.

Thank You